

Sainsbury's

STRATEGIC TRANSFORMATION PLAN **CONFIDENTIAL INFORMATION MEMORANDUM**

THE EVOLUTION INTO A HIGH-CASH, PURE-PLAY GROCERY LEADER

THE INVESTMENT THESIS

1

THE PURE GOOD PREMIUM

Revenue mix is structurally insulated from cyclical discretionary retail downswings.

2

SELF-FUNDING EFFICIENCY PIPELINE

£1B cost-savings milestone on track to absorb intense statutory UK living wage headwinds.

DEFENDING THE CORE: MARGIN PROTECTION VIA AUTOMATION

THE PRICE REINVESTMENT LOOP

- Grocery cost savings are dynamically reinvested directly back into shelf-level pricing mechanisms.
- Aggressively defends market share volumes via Nectar Prices and Aldi Price Match metrics.

HIGH-MARGIN DIGITAL MEDIA NETWORK

- Scaling of Nectar platform unlocks a high-margin pure B2B revenue stream. The platform now offers over 11,000 products and has saved consumers nearly £5.5B to-date.
- Operating at near-0% COS, acting as a mathematical diluter on raw costs.

	2025A	2026A	2027E	2028E
Gross Margin	6.7%	6.6%	6.6%	6.8%

THE STEP TO CHANGE: STREAMLINING CORPORATE INFRASTRUCTURE

1. HEADCOUNT DELAYERING

 **3,000+**
CORPORATE POSITION
PERMANENTLY REDUCED

Creating a structurally leaner organisation through the delayering of management and support functions.

2. THE IT OPTIMISATION RUNWAY

FOUNDATIONAL CLOUD MIGRATION COMPLETE

Major programs now live and stabilised:



NCR VOYIX

Benefits Locked In:

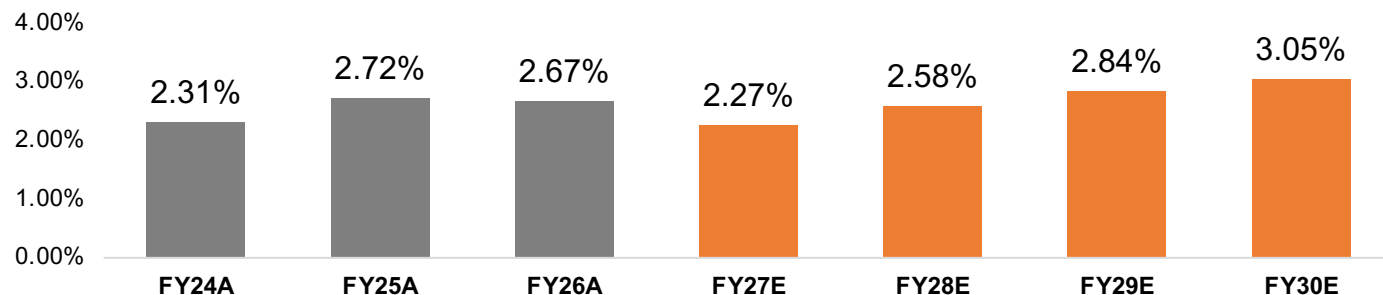
- Lower maintenance & licensing costs
- Reduced infrastructure complexity
- Improved systems scalability & agility

ANNUAL UNDERLYING ADMIN RUN-RATE

£1.25B

Flat, highly compressed
run-rate by 2030

Operating Margin (%)



DRIVING VELOCITY: TRANSFORMING THE BALANCE SHEET VIA THE ARGOS EXIT

INVENTORY COLLAPSE



DIO: **24 DAYS** → **15 DAYS**



DIO ↓ 8 DAYS

Inventory release from Argos exit

PURE GROCERY MODEL



DSO 5 DAYS

Tight credit auditing

SUPPLIER FINANCING LEVERAGE



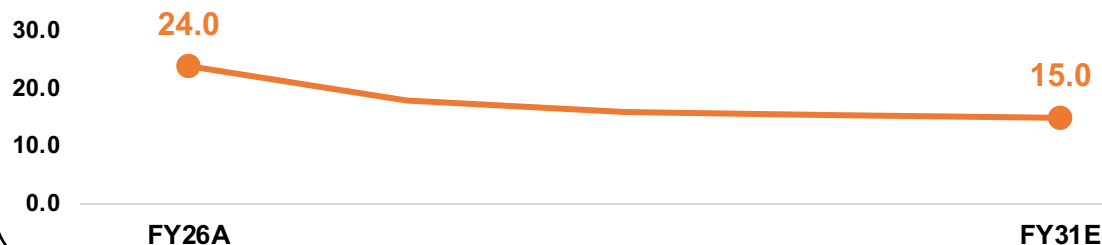
DPO HELD FLAT: **64 DAYS**
DSO HELD TIGHT: **5 DAYS**



DPO 64 DAYS

Scaled-backed supplier terms

DIO: TOTAL INVENTORY



FREE CASH FLOW UPLIFT

Lower inventory days release cash through Changes in Working Capital, inflating FCF where discounting penalises value least.

A BULLETPROOF CAPITAL STRUCTURE: PASSIVE DEBT & LEASE REDUCTION

DEBT RETIREMENT & REFINANCING STABILITY



BANK CAPITAL EXPIRATIONS

The £125m Bank Tier 2 Capital note will be permanently retired and paid off in 2028 with £0 refinancing re-issuance obligations.



LEGACY LIABILITY INSULATION

Completely clears remaining structural bank exposure from the consolidated holding company books.



PREDICTABLE ROLLOVER MODELLING

Remaining corporate bonds are locked at low, predictable coupon fixed interest rates.

OFF-BALANCE SHEET LEASE OFF-LOADING



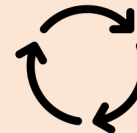
STRATEGIC ARGOS PROPERTY EXIT

The complete divestment of Argos transfers hundreds of complex high-street commercial property contracts directly to Swift Partners.



BALANCE SHEET CLEANUP

Cleanly eliminates approximately -£250 million in long-term lease liabilities from group books.



REFINANCING COMFORT WINDOW

2030 tranche modelled as a net-zero 1-to-1 rollover to defend a safe 2.4x - 2.3x Net Debt-to-EDITDA ceiling.

MAXIMISING CASH CONVERSION: FUNDING THE £300M ANNUAL PAYOUT TARGET

CAPEX NORMALISATION

£800M - £850M



- Major foundational cloud and supply infrastructure spending is complete.
- Capital Expenditures step down to a lean highly sustainable maintenance baseline.
- Runs significantly lower than the £1.2bn D&A line.

RETAIL CASH ENGINE

£1.6B+



- Structural overhead and inventory compression fully unlock core cash generation.
- Delivers management's multi-year cumulative Retail Free Cash Flow milestone targets.

SHAREHOLDER BUYBACKS

-£300M / Year



- Continuous, aggressive equity cancellation program fully funded via organic cash flow.
- Supported by a highly predictable 1.9x target dividend cover ratio (~53% corporate pay-out).

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